

Board of Directors Package

Wholesum Foods Distribution, Inc. — Q4 2024

Board Meeting: February 6, 2025 | Confidential — Board Use Only

Date	February 6, 2025
Location	Atlas Crossing Partners, 2 Embarcadero Center, Suite 1800, San Francisco, CA 94111
Board Members	M. Tang, S. Chen (Atlas Crossing); C. Gonzales (Exec. Chairman); R. Whitfield, L. Park (Independent)
Management	R. Gonzales (CFO); P. Vega (President & COO); M. Torres (SVP Operations)
Observers	D. Okafor (Atlas Crossing — Principal)

Agenda

1. Call to order and quorum confirmation
2. Approval of prior meeting minutes
3. Executive Summary and quarterly highlights
4. Financial performance review
5. Operational KPI update
6. Strategic initiatives status
7. Risk review
8. Next quarter outlook and key actions
9. Other business / adjourn

Executive Summary

Wholesum closed FY2024 with Q4 revenue of \$259.0M and EBITDA of \$32.9M (12.7% margin). Full-year FY2024: revenue \$952.0M, EBITDA \$118.5M — 64% above the \$72.4M entry LTM. Net leverage declined

to 4.9x — 1.1 turns ahead of plan and the first time below 5.0x. The IC has formally approved the exit preparation process, targeting a sell-side process launch in Q2 2026.

Financial Performance

Metric	Q4 2024 Actual	Budget	Var. to Bud.	Prior Year Qtr	YoY
Revenue	\$259.0M	\$254.0M	+2.0%	\$208.0M	+24.5%
Gross Profit	\$52.3M	—	—	—	—
Gross Margin %	20.2%	—	—	—	—
EBITDA	\$32.9M	\$31.5M	+4.4%	\$25.6M	+28.5%
EBITDA Margin %	12.7%	—	—	—	—
D&A	(\$6.7M)	—	—	—	—
EBIT	\$26.2M	—	—	—	—
Interest Expense	(\$7.4M)	—	—	—	—
Net Leverage	4.9x	—	—	Entry: 6.0x	—
LTM EBITDA	\$118.5M	—	—	Entry: \$72.4M	—

Operational KPIs

KPI	Current Quarter	Entry Baseline	Progress
Total Customers	4,710	3,500	+1,210 incremental
Distribution Centers	17	12 DCs	+5 DCs from bolt-ons
Private Label % of Rev.	13.0%	8.0%	Target: 18% by exit
Revenue per Customer	\$55.0K	—	—
EBITDA per DC	\$1.94M	—	—
Net Leverage	4.9x	6.0x	Covenant: ≤7.5x

Strategic Initiatives

Initiative	Status	Detail
Private label expansion	Ahead of plan	78 SKUs; 13.0% of revenue; 16%+ target by exit
Exit preparation	IC approved	IC approved H2 2026 exit; Houlihan Lokey shortlist finalized
Customer NPS program	On track	NPS improved 62 → 68; target 72+ by Q3 2025
Management equity refresh	Completed	CEO + 5 senior leaders issued incremental equity

Key Risks & Mitigation

Risk	Severity	Mitigation
Exit process timing	Low	M&A market active; strong strategic buyer appetite
PL co-packer	Low	Contract extensions through 2027 executed
Interest rate environment	Low-Medium	Rate cap extended; SOFR impact manageable

Next Quarter Outlook

FY2025 plan: \$1,085M revenue, \$138M EBITDA (12.7% margin). Houlihan Lokey engagement target Q1 2025. Exit process launch target Q2 2026.

This document is confidential and has been prepared solely for use by the Board of Directors of Wholesum Foods Distribution, Inc. and Atlas Crossing Partners. Not for distribution.